Ch #3 - Employment Income - Handout #5 (ANSWER)

#1) **Bob -** Allowance fully included in income and Bob may claim a portion of his vehicle costs [gasoline, maintenance, vehicle registration/insurance, lease payments (if applicable), and CCA (if owned), etc.]

Employer - The employer can claim as a business expense the actual payments made to employees.

#2) **Bob -** Allowance not taxable and no expenses available to employee.

Employer - The employer can claim as a business expense the actual payments made to employees.

#3) **Bob -** No impact.

Employer - The employer can claim as a business expense the actual payments made to employees.

#4) **Bob -** $500 per month taxable and can claim actual travel costs against employment

Employer - The employer can claim as a business expense the actual payments made to employees.